



CALLING THE SHOTS FM Nirmala Sitharaman at the 56th GST Council meeting in New Delhi on September 3

CONSUMPTION BOOST

► **FY26 Union Budget announced income tax relief for individuals under which no tax is payable up to income of ₹12 lakh under the new regime, which has no exemption**

► **The Monetary Policy Committee of the Reserve Bank of India has cut the repo rate by 100 basis points so far this calendar year**

► **The GST Council has brought next-generation reforms that will lower tax rates on hundreds of items, though rates have been raised on some**

► **Together, these measures could boost consumption by over ₹1 lakh crore, drive up private sector capex, lower inflation**

► **With the US levying a 50% tariff on Indian exports, reforms of inverted duty structure, faster refunds and rate cuts on inputs will help MSMEs and exporters**

expenditure, which constitutes about 57% of the GDP, has remained patchy since the Covid-19 pandemic as high inflation, job losses and slow wage hikes impacted disposable incomes and private sector investments.

The government is betting on higher demand finally revving up private sector capital investments, which have been in the slow lane largely as they await

better capacity utilisation, despite the Modi government's big corporate tax cut in 2019. According to the RBI, capacity utilisation in the manufacturing sector rose to 77.7% in the fourth quarter of last fiscal, marginally higher than 75.4% in the previous quarter. It has to be sustained at 75-80% for at least a few quarters to give companies the confidence to start investing in capacity.